Take, for example, the Ultimatum Game – one of the most famous experiments in behavioural economics. This experiment is usually conducted on two people. One of them gets $100, which he must divide between himself and the other participant in any way he wants. He may keep everything, split the money in half or give most of it away. The other player can do one of two things: accept the suggested division, or reject it outright. If he rejects the division, nobody gets anything.

Classical economic theories maintain that humans are rational calculating machines. They propose that most people will keep $99, and offer $1 to the other participant. They further propose that the other participant will accept the offer. A rational person offered a dollar will always say yes. What does he care if the other player gets $99?

Classical economists have probably never left their laboratories and lecture halls to venture into the real world. Most people playing the Ultimatum Game reject very low offers because they are 'unfair'. They prefer losing a dollar to looking like suckers. Since this is how the real world functions, few people make very low offers in the first place. Most people divide the money equally, or give themselves only a moderate advantage, offering $30 or $40 to the other player.

The Ultimatum Game made a significant contribution to undermining classical economic theories and to establishing the most important economic discovery of the last few decades: Sapiens don't behave according to a cold mathematical logic, but rather according to a warm social logic. We are ruled by emotions. These emotions, as we saw earlier, are in fact sophisticated algorithms that reflect the social mechanisms of ancient hunter-gatherer bands. If 30,000 years ago I helped you hunt a wild chicken and you then kept almost all the chicken to yourself, offering me just one wing, I did not say to myself: 'Better one wing than nothing at all.' Instead my evolutionary algorithms kicked in, adrenaline and testosterone flooded my system, my blood boiled, and I stamped my feet and shouted at the top of my voice. In the short term I may have gone hungry, and even risked a punch or two. But it paid off in the long term, because you thought twice before ripping me off again. We refuse unfair offers because